

Rooted in Integrity, Growing with Purpose

ANNUAL REPORT 2023 - 2024





Rooted in Integrity, Growing with Purpose

"Rooted in Integrity, Growing with Purpose" reflects the journey of Saint Lucia's Citizenship by Investment Programme—a journey anchored in the values that define our island and inspire trust worldwide. As we grow, we remain steadfast in our purpose: to offer a Programme built on integrity, transparency, and a commitment to excellence. Each step forward strengthens our foundation, welcoming investors who see not just the beauty of Saint Lucia, but the trustworthiness and vision behind our Programme. With a focus on security and sustainable growth, we're building a legacy that goes beyond investment—a legacy that celebrates our roots, honors our people, and grows with purpose to shape Saint Lucia's future.

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Financial Surplus
EC\$89.9M



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Global Integrity

A Year of Enhanced Compliance and Strategic Expansion for Saint Lucia's Citizenship by Investment Programme

Julian Charles

This past year marked a pivotal chapter in the evolution of Saint Lucia's Citizenship by Investment Programme (CIP). With a steadfast commitment to global integrity, regulatory excellence, and strategic expansion, the Programme has reinforced its position as a premier jurisdiction in the investment migration landscape. By continuously adapting to the evolving regulatory environment, Saint Lucia's CIP remains at the forefront of the industry, upholding the highest standards of transparency, accountability, and investor confidence.

The EC\$89.9M surplus highlights the Programme's role in Saint Lucia's economic resilience, fueling infrastructure development and national sustainability.



Total revenue
EC\$240.3M

296% increase from the previous year.



Administrative Fees from Real Estate Applications
EC\$88M

reinforcing investor confidence.



Surplus
EC\$89.9M

highlights economic resilience.

Strengthening Compliance & Governance

Saint Lucia's CIP has undertaken a comprehensive enhancement of its compliance and risk management protocols, aligning with the most stringent U.S., U.K., and EU regulatory standards. By expanding our compliance network and integrating advanced due diligence measures, we have strengthened credibility and security.

The introduction of independent operational audits has further reinforced governance, ensuring a robust and ethically sound investment programme. These developments underscore Saint Lucia's commitment to maintaining the highest level of security and compliance.

Record-Setting Growth & Financial Performance

The Programme achieved unprecedented success, with total revenue reaching EC\$240.3M, a 296% increase from the previous year. This growth is attributed to the exceptional rise in applications, particularly in Real Estate Investment.

The EC\$89.9M surplus highlights the Programme's role in Saint Lucia's economic resilience, fueling infrastructure development and national sustainability. The surge in Due Diligence Fees, which reached EC\$133.1M, underscores the strength of compliance measures, while Administrative Fees from Real Estate Applications contributed EC\$88M, reinforcing investor confidence. While monetary donations to the National Economic Fund declined by 60%, diversified investment options sustained momentum.

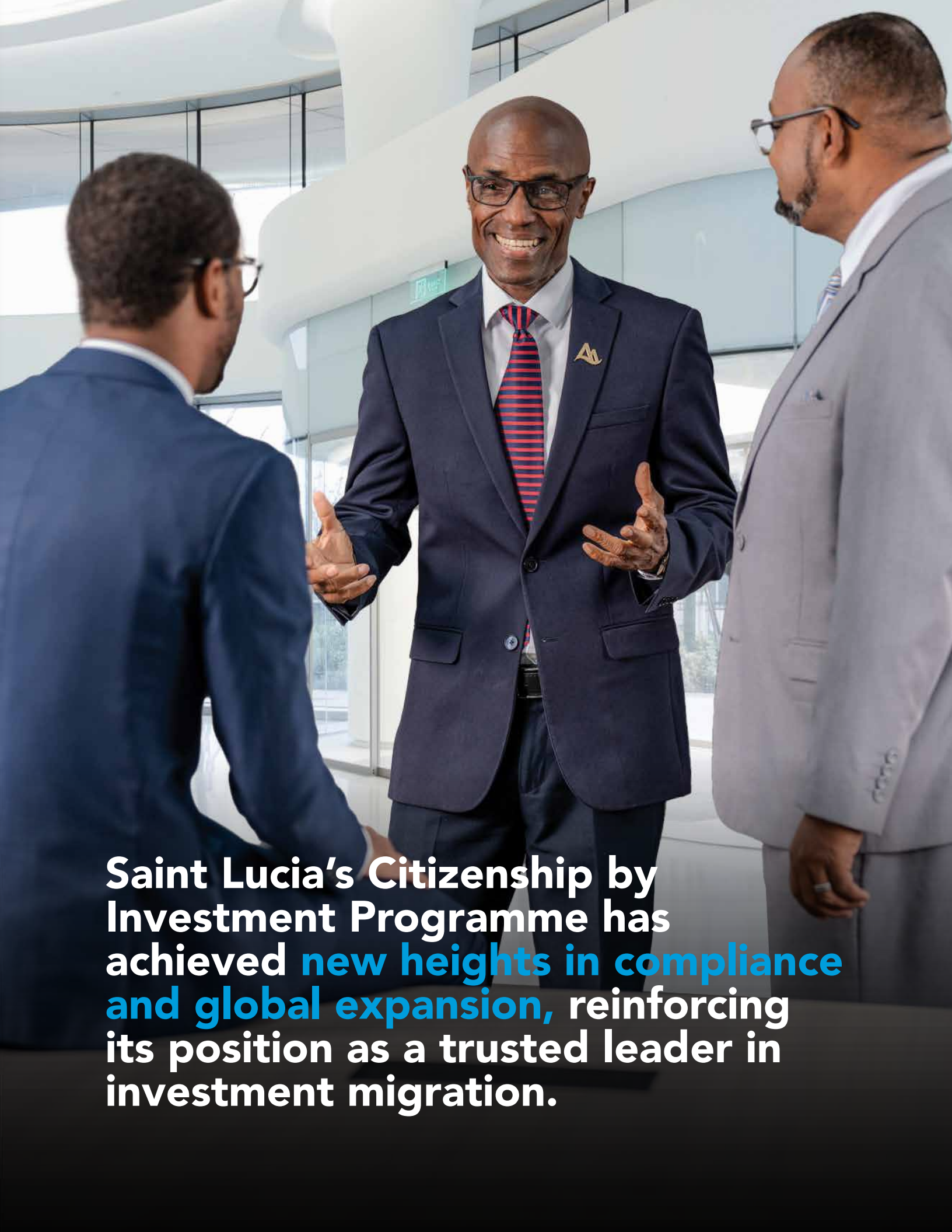
Strategic Market Expansion

CIP has expanded into North Africa, the Middle East, and emerging markets, fostering bespoke investment pathways and strengthening its global presence. This approach diversifies the investor base and ensures resilience amid economic shifts.

Enhancing Operational Efficiency & Digital Innovation

The Programme has strengthened administration, processing, and digital infrastructure, ensuring:

- **Faster application processing** with improved turnaround times.
- **Advanced fraud detection and risk assessment mechanisms.**
- **Optimized investor experience** through digital accessibility.



Saint Lucia's Citizenship by Investment Programme has achieved new heights in compliance and global expansion, reinforcing its position as a trusted leader in investment migration.

**CIP HAS EXPANDED INTO NORTH
AFRICA, THE MIDDLE EAST, AND
EMERGING MARKETS, FOSTERING
BESPOKE INVESTMENT PATHWAYS
AND STRENGTHENING ITS
GLOBAL PRESENCE.**





While operating costs rose 70% (EC\$2.8M), these investments ensure Saint Lucia remains a leader in investment migration.

A Future Built on Transparency, Trust, and Excellence

Looking ahead, Saint Lucia's CIP remains committed to enhancing due diligence frameworks, expanding investment opportunities, and reinforcing regulatory alignment to secure its reputation as a trusted jurisdiction. With transparency, security, and sustainable growth, Saint Lucia's CIP is pioneering a new era in investment migration.

Acknowledgments and Appreciation

The success of Saint Lucia's Citizenship by Investment Programme is driven by the dedication and expertise of its leadership and operational teams. The Board of Directors has provided strategic oversight, ensuring the Programme's continued evolution. Their governance has been instrumental in positioning Saint Lucia as a leader in investment migration.

The Citizenship by Investment Unit (CIU) remains the backbone of our operations, executing the Programme with precision and efficiency. The CEO and his team's commitment to excellence and adaptability has sustained our growth and strengthened our reputation on the global stage.

We also recognize our due diligence and compliance partners, whose rigorous assessments safeguard the Programme's integrity and reinforce investor confidence. Likewise, the contributions of local and international stakeholders and government agencies have been essential in expanding our global reach.

Above all, we extend our sincere gratitude to our valued investors, whose trust and engagement drive our continuous innovation and commitment to delivering a world-class investment experience.

As we move forward, with the collective support of all stakeholders, Saint Lucia's CIP will remain a model of transparency, integrity, and sustainable success.



Julian Charles | Chairman (Ag),
Citizenship by Investment Programme
Saint Lucia



John Magloire
Fisherman

Net **GAIN** for Micoud



The \$921,776.06 Micoud Jetty Project, funded by the CIP, is revitalizing the fishing industry in Micoud. With a proper jetty replacing the inadequate floating dock, fishermen like John Magloire can now operate with ease. This investment promises a stronger future for the community.

Citizenship by Investment

Board Governance



Citizenship by Investment

Board Governance



Julian Charles
Acting Chairman

**Banking Veteran | Credit Risk Strategist
| Former International Cricketer**

A banking veteran with 30+ years of experience, Julian Charles has led retail and corporate lending, credit risk, and financial recoveries. He spent six years at CIBC and 27 years at Bank of Saint Lucia, holding senior roles such as Assistant Manager of Credit Risk at ECFH and Manager of Special Loans in the Recoveries Department. His deep knowledge of financial risk management makes him a key figure in the Caribbean banking sector.

Now serving as Acting Chairman of the Citizenship by Investment Board, Mr. Charles oversees governance, transparency, and strategic oversight in investment migration. He holds a Bachelor's in Banking and Finance from University of Manchester, a Bachelor of Laws (LLB) from University of Wolverhampton, and an MBA from Monroe College, Saint Lucia. A former West Indies B cricketer, he captained Saint Lucia and the Windward Islands, exemplifying leadership in both finance and sports.



Sean Alexander
Director

**Assistant Superintendent, Royal Saint
Lucia Police Force | National Security
Expert**

With over 30 years in law enforcement, Sean Alexander is an Assistant Superintendent of the Royal Saint Lucia Police Force (RSLPF) and a seasoned national security strategist. He has led key divisions, including the Criminal Investigations Department, Drug Unit, Central Intelligence Unit, and Major Crimes Unit. A recipient of the Commissioner's Certificate of Commendation, he has commanded the Dennerly and Richford Police Stations and served as Head of Immigration, reinforcing Saint Lucia's border security framework.

As a Director on the Citizenship by Investment Board, Mr. Alexander ensures high-level security oversight in investment migration. He holds a Bachelor's in Criminal Justice from Monroe College and a Postgraduate Certificate in Security and Risk Management from Leicester University, with specialized training from the Colombian National Police and French Interior Ministry. His expertise continues to influence policy, security, and governance in Saint Lucia's evolving economic landscape.



George K. Charlemagne
Director

**Legal Strategist | Crown Counsel |
Governance & Policy Advisor**

A seasoned practitioner in public office, George K. Charlemagne serves as Crown Counsel in the Attorney General's Chambers of Saint Lucia, specializing in civil, constitutional, and commercial law. He has represented the government of Saint Lucia in high-profile cases and advised on legislative and regulatory matters. Called to both the Saint Lucia and Trinidad & Tobago Bars in 2017, he also sits on statutory boards and national committees, shaping legal governance.

As a Director on the Citizenship by Investment Board, Mr. Charlemagne ensures legal compliance, due diligence, and policy oversight in investment migration. He holds an LLB with honors from UWI Cave Hill and a Legal Education Certificate from Hugh Wooding Law School, where he was on the Principal's Roll of Honor and received the Best Overall Performance Award. His sharp legal acumen continues to influence Saint Lucia's economic and governance landscape.

OUR TEAM
Management Team and Departments



Executive Management



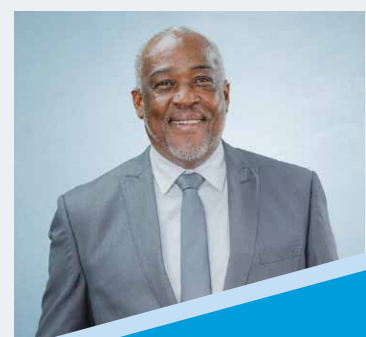
Mc Claude Emmanuel
Chief Executive Officer



Leo Francis
Financial Controller



Kristian Henry
Legal Officer/
Corporate Secretary



Christopher Paul
Chief Operations Officer

Citizenship By Investment

DEPARTMENT OVERVIEW

Office of the Chief Executive Officer (CEO)

The Office of the CEO provides strategic leadership, ensuring policy alignment with national development goals while overseeing efficient operations, regulatory compliance, and innovative strategies to enhance the program's global appeal and credibility.

Human Resources (HR) Department

The Human Resources Department fosters a dynamic and inclusive work environment by prioritizing talent acquisition, employee engagement, and operational efficiency to build a high-performing team that upholds integrity and international standing.

Verification Department

The Verification Department plays a crucial role in the initial compliance phase by reviewing applications for completeness and accuracy, ensuring adherence to the Citizenship by Investment Act, with compliant applications advancing to the Due Diligence stage while non-compliant ones are flagged.

Due Diligence Department

The Due Diligence Department assesses applicants' suitability for citizenship through comprehensive background checks, risk profiling, and enhanced measures such as third-party verifications, regional intelligence reviews, and Financial Intelligence Authority (FIA) investigations to uphold the integrity of the application process.

Processing Department

The Processing Department manages post-decision deliverables by issuing notification letters and Citizenship Certificates to applicants, assessing applications from Promoters and Authorized Agents, and overseeing the issuance of their licenses with accuracy and efficiency.

Alien Landholding Department

The Alien Landholding Department regulates land acquisition by non-nationals under the Alien Landholding Act, ensuring compliance with Saint Lucia's property laws through applicant vetting, due diligence, Board reviews, and license enforcement, while supporting the integrity of the Citizenship by Investment program.

IT Department

The IT Department enhances operational efficiency through infrastructure upgrades, network improvements, hardware refresh, and the development of CIP Portal V2.0, providing a faster, more user-friendly experience with streamlined workflows.

Finance Department

The Finance Department ensures the financial integrity and sustainability of the Citizenship by Investment Unit by managing budgeting, accounting, reporting, and auditing while overseeing fund collection, regulatory compliance, and financial analysis to support strategic planning and economic benefits for Saint Lucia.

Administrative Department

The Administrative Department manages correspondence, maintains applicant records, coordinates with stakeholders, and facilitates the timely processing of citizenship applications while ensuring accuracy, confidentiality, and professionalism to support the overall efficiency of the CIP.





Andrew Alexander
Subcontractor,
Chaussee Road Rehabilitation Project

Paving *PROGRESS.*



The Chaussee Road Rehabilitation Project, funded by the CIP, is driving infrastructure development in Saint Lucia. With Nationwide Construction at the helm and local subcontractors like Andrew Alexander handling asphalt paving, this \$6.1M investment is laying the foundation for smoother, more connected communities.

YEAR AT A GLANCE

The past year has been nothing short of extraordinary, marking new records and unprecedented growth for the Citizenship by Investment Programme. With a surge in applications, remarkable revenue gains, and a strong financial position, the programme continues to solidify its reputation on the global stage. Here's a snapshot of our biggest achievements:

Record Breaking Applications

424% increase
in applications, from **1,076 to 5,642.**



Total Assets up by **EC\$78M**

showing continued financial expansion.

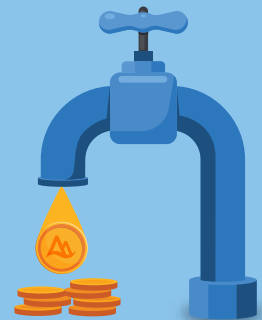


Total Revenue **EC\$240.3M**

Up **296%** from
EC\$60.6M last year.

Financial Surplus **EC\$89.9M**

up **294%** from EC\$22.8M in the
previous year.



Cash Reserve Increase **EC\$65.8M**

strengthening financial stability.



Real Estate Investment Growth **EC\$88M**

now the dominant investment category.



Due Diligence Fees **EC\$133.1M**

driven by the surge in applications.



CEO'S REPORT

Strengthening Our Legacy:

A Landmark Year for Saint Lucia's Citizenship by Investment

The 2023/24 fiscal year has been exceptional for the Citizenship by Investment Unit, marked by continued growth in applications and strategic advancements in our already robust processes to uphold the integrity of the Citizenship by Investment Programme.

In line with our commitment for continuous improvement and building strong stakeholder partnerships, we introduced two major initiatives on September 4, 2023:

1. Applicant Identity Verification Interviews

2. Financial Screening by the Financial Intelligence Authority

These additional screening layers apply to every applicant from the effective date, adding further rigor to an already comprehensive process. Recognizing the importance of a strong compliance team, we placed a priority on expanding our team's capacity, ensuring they are consistently trained in Anti-Money Laundering (AML), cryptocurrency, and any of the emerging trends that are deemed risks in any of our overseas markets.

As global interest in Saint Lucia grew, so too did our need for skilled personnel. Through a combination of



This year, Saint Lucia's Citizenship by Investment Programme strengthened its legacy, achieving record growth in applications and enhancing compliance standards to uphold our commitment to integrity and excellence."



virtual and overseas training, team members achieved certifications from the Chartered Governance Institute of Canada; the Investment Migration Council and participated in conferences hosted by the Caribbean Regional Compliance Association, Exiger, and S-RM, among others.

On the financial side, the Unit's performance was outstanding, with a nearly fourfold increase over last year's (2022/23) surplus of \$22.8 million. This significant growth was driven by a steady rise in application rates, coupled with prudent management of the State's resources.

The Saint Lucia Citizenship by Investment Programme has evolved beyond simply offering a passport. Recently, we hosted a landmark conference, aligned with our mantra, where hundreds of stakeholders gathered to explore the immense potential of our "island gem." We remain dedicated to positioning the Programme as more than just a travel document pathway, continually leveraging our unique assets to gain a competitive edge in the investment migration industry, in partnership with our Brand Saint Lucia

collaborators—Saint Lucia Tourism Authority, Invest Saint Lucia, and Events Company of Saint Lucia.

Despite the historic performance, the targets for the fiscal year 2024/25 are even more ambitious! We are aiming for a minimum of 100% improvement in the rate of processing and a 20% uplift in the annual surplus. While a stretch, we believe it is achievable and will provide the required effort to meet these lofty expectations.

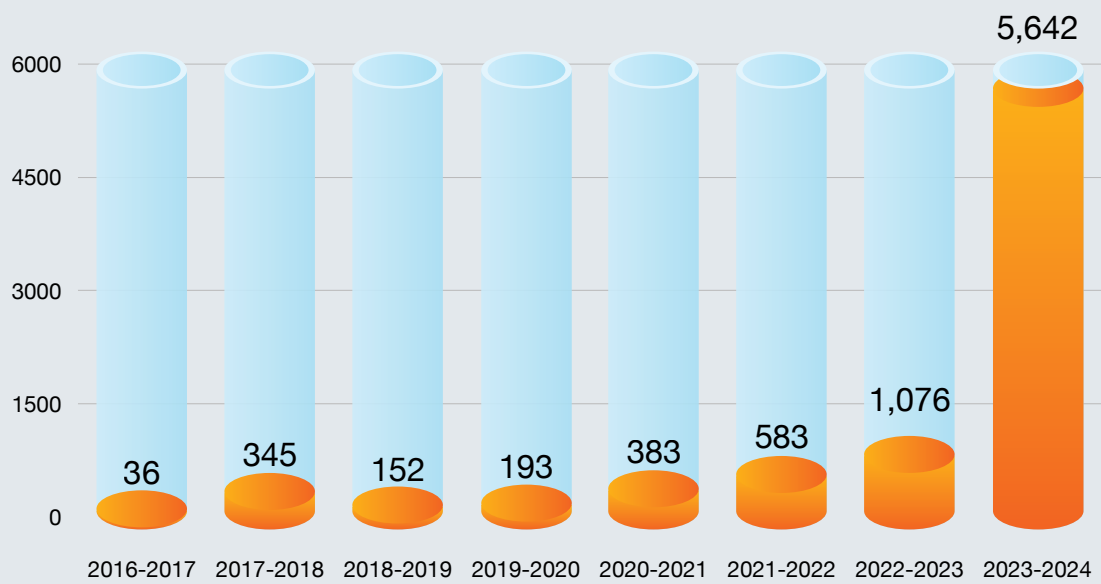
In closing, I extend my deepest appreciation to the Government, Board of Directors and the Unit's dedicated staff for their tireless efforts. This historic year is a testament to the strength of our unified approach, and we look forward to building on this momentum for continued growth in Programme and the industry as a whole.

Mc Claude Emmanuel | Chief Executive Officer

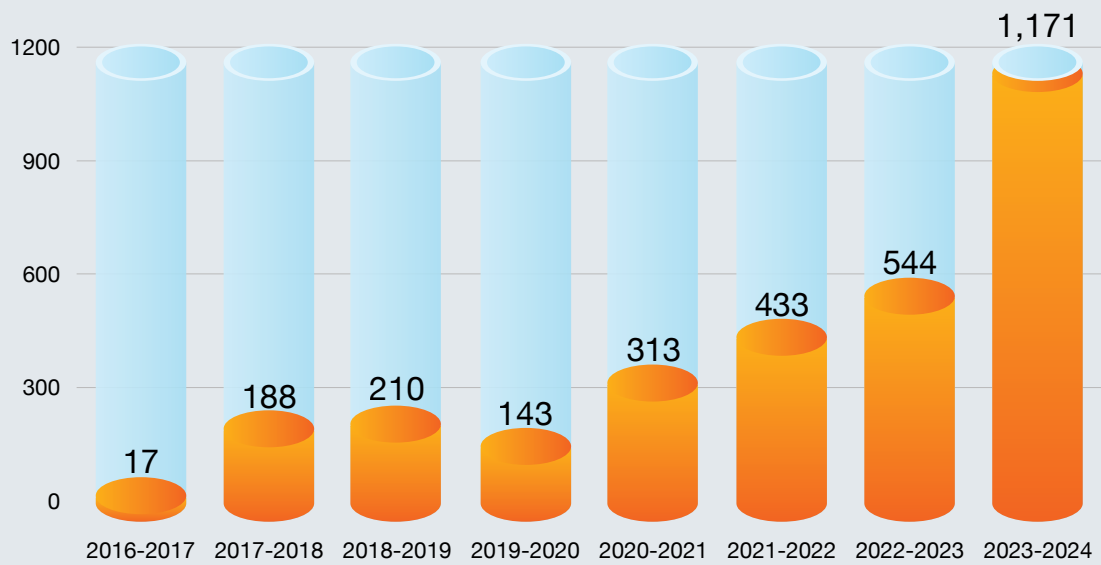


Citizenship Application Statistics

APPLICATIONS RECEIVED 2016-2024

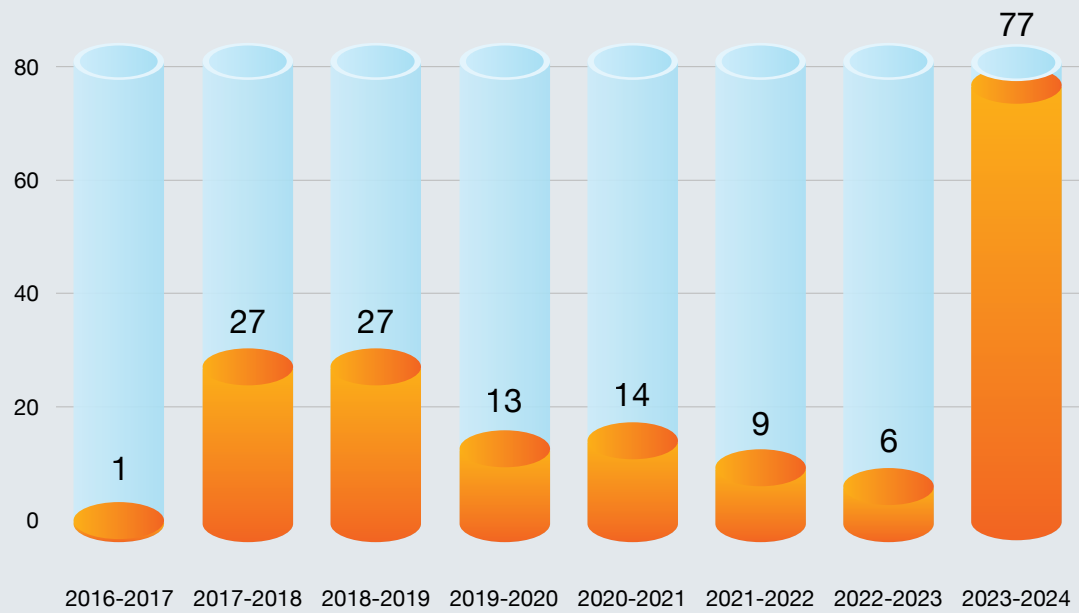


APPLICATIONS GRANTED 2016-2024



Citizenship Application Statistics

APPLICATIONS DENIED 2016-2024



Executive Summary Financial Performance

Financial Results Year ended 2023/2024

The Citizenship by Investment Unit (The Unit), through its Citizenship by Investment Programme (CIP), has once again exceeded expectations, highlighting remarkable growth and success. For the year ending March 31st, 2024, the Unit achieved an unprecedented record in application numbers, surpassing previous records set in the 2022/2023 year. This exceptional performance is a testament to the programme's continued appeal and global recognition.

The Unit recorded an unprecedented surplus of EC\$89.9M in comparison to \$22.8M in the previous year. A significant portion of this growth is attributable to the increase in administrative fees from the Real Estate Investment category. The success of the Real Estate Investment category has proven to be a key factor in attracting investors, further solidifying the programme's standing as a leading choice for those seeking citizenship options.

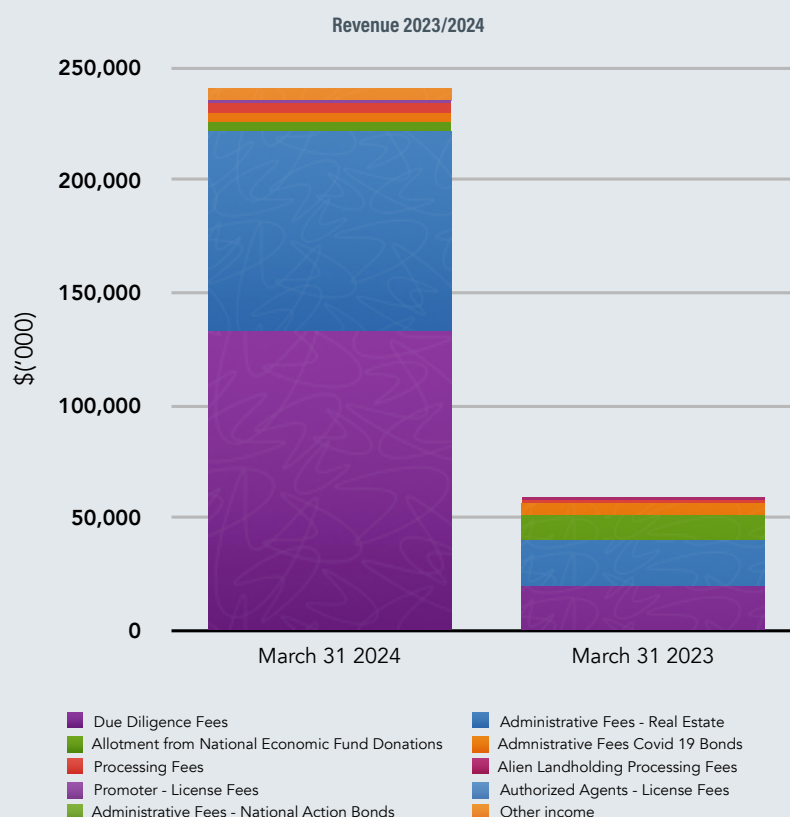
Building on the success of the Real Estate Investment category, and the National Economic Fund which doubled the applications received, our marketing strategy will continue to prioritize, attracting applications across all categories of the Citizenship by Investment Programme. While monetary donations to the National Economic Fund have seen a slight decline compared to previous years, our focus remains on driving growth, innovation and maximizing opportunities.

Notwithstanding the continued windfall, the effective management of our financial resources remain paramount to the Unit's operations. In addition to our annual financial audit, and with the aim of continuous strengthening of our processes, the CIU will undergo an operational audit that will clinically assess and make recommendations for further enhancements to all aspects of our operations.

Revenue

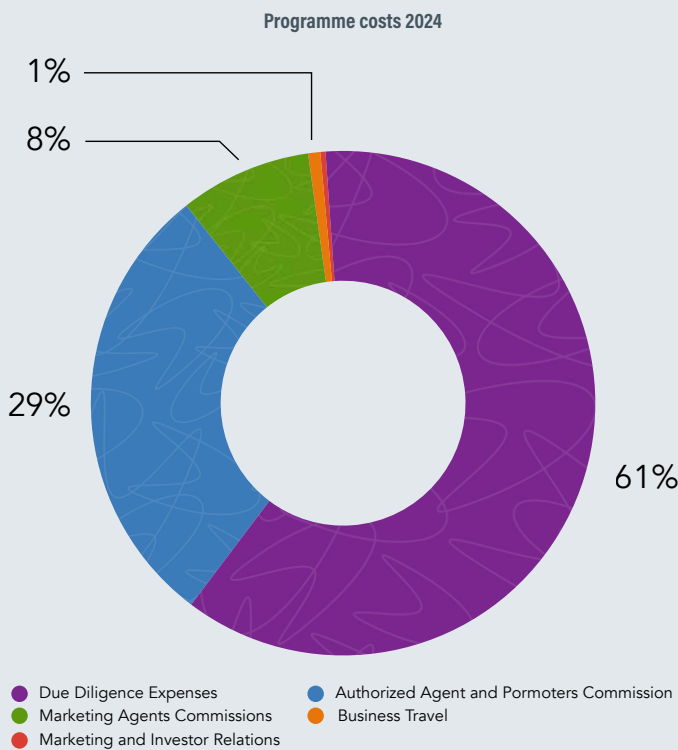
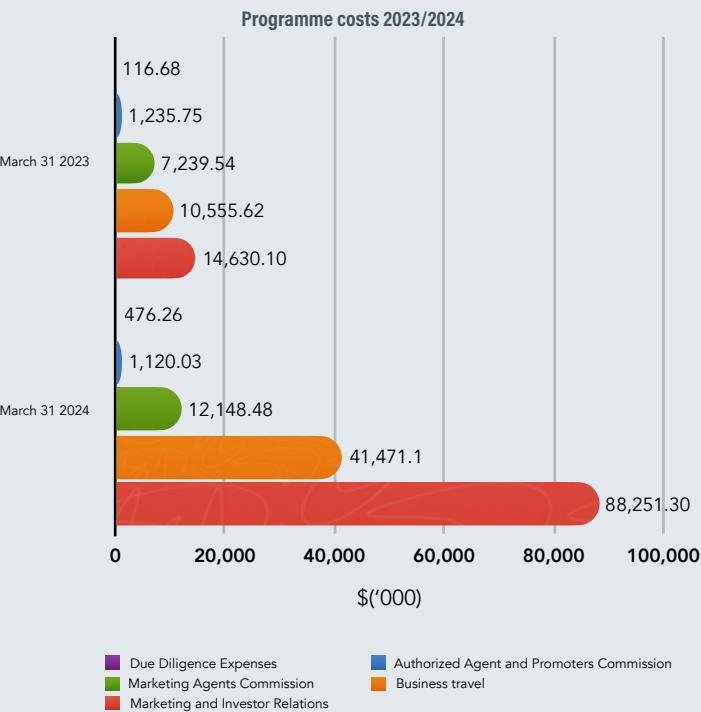
Total revenue for the period was EC\$240.3M and exceeded 2022/2023 revenue of EC\$60.6M by EC\$179.6M or 296%. The key drivers of such remarkable revenue performance were Due diligence fees of EC\$133.1M stemming from the increase in applications and Administrative fees of EC\$88M derived from Real Estate applications granted citizenship.

Monetary donations to the National Economic Fund underperformed, compared to the prior year by 60% or EC\$7.2M at the success of the Real Estate option. Over the past two years, the programme has seen a decline in traction towards this investment option, with Real Estate being the more dominant option.



Programme Costs

In line with the increase in revenue, program costs rose by EC\$109.7M compared to the previous year, resulting in a 4% decrease in margin. This decline was mainly due to lower revenue from monetary donations to the National Economic Fund and the now expired COVID-19 Bonds, as well as the impact of higher commissions paid to promoters and marketing agents.

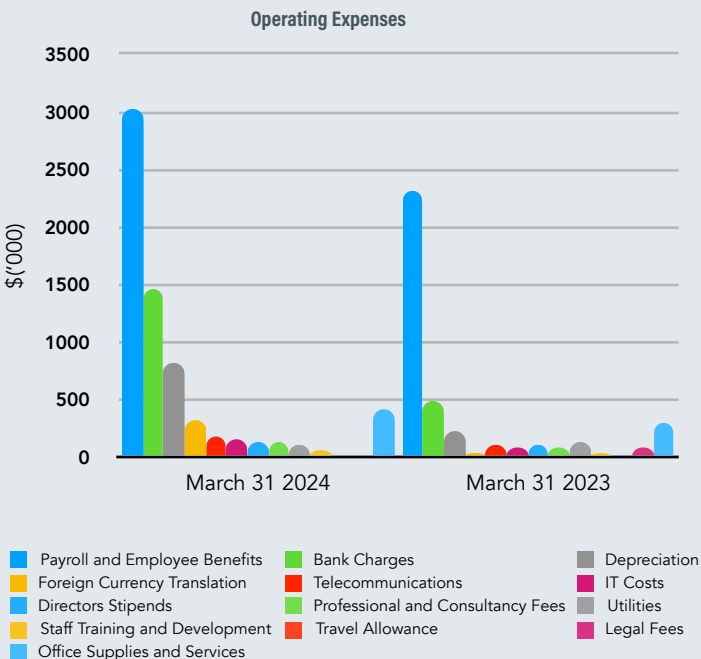


Operating Expenses

The growth in applications prompted the Unit to review and adjust certain operational areas, particularly administration, processing, and information technology. As a result of improvements in these areas and increased staffing, operating expenses grew by 70%, or EC\$2.8M. Below are the key factors contributing to this increase in operating costs:

- Payroll costs** increased by EC\$718K, or 31% due to the hiring of additional staff.
- Bank charges** increased by EC\$976K, or 204%, primarily driven by the high volume of CIP monetary transactions impacted by the bank's account maintenance fee of 0.05%.
- Depreciation** increased by EC\$580K due to investments in leasehold improvements and the related right-of-use assets and computer equipment.
- Foreign currency translation** costs increased by EC\$280K, reflecting a higher volume of transactions requiring currency exchange.
- Telecommunications and IT costs** rose by EC\$133K due to upgrades and enhancements to the computer network and infrastructure.

Despite these increases, costs are well-managed and remain within the budgetary allocations approved by the Board of Directors.



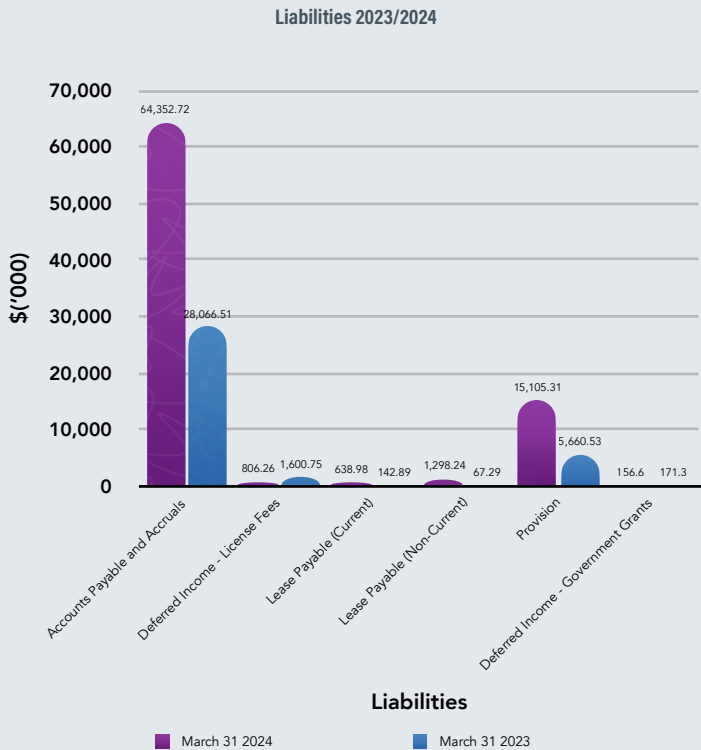
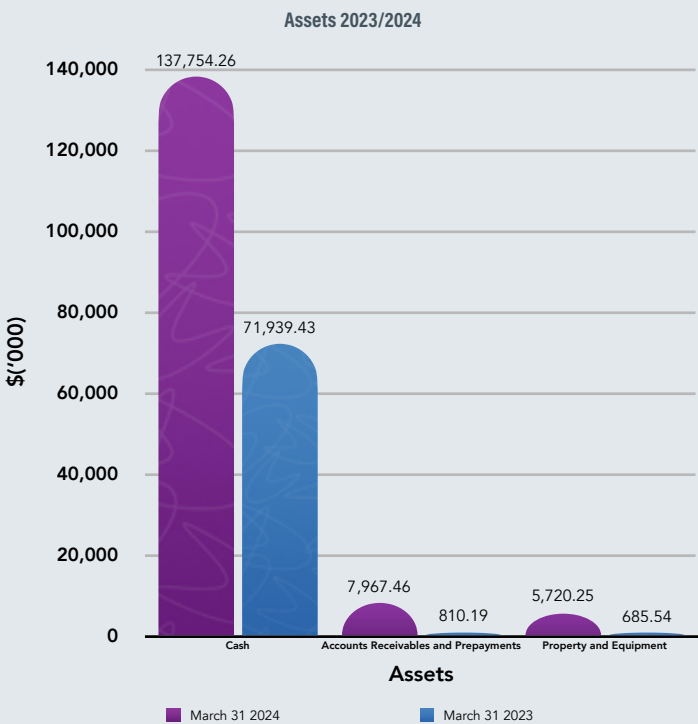
Balance Sheet

Total assets increased by EC\$78M, primarily due to a net rise in cash of EC\$65.8M, driven by a higher volume of applications. Additionally, accounts receivable and prepayments grew by EC\$7.1M, largely due to outstanding due diligence fees. Property and equipment saw an increase of EC\$3.2M, primarily from leasehold improvements, while related Right-of-use assets grew by EC\$2.4M. Computer equipment also increased by EC\$162K.

Total current liabilities increased by \$46.2M or 136% in comparison to the fiscal year 2022/2023. This is attributable to the increase in fees payable to due diligence firms, commissions payable to promoters and marketers and the increase in provision for VAT payable to government.

The Working Capital Ratio is at 1.82 for the period ended, compared to 2.15 in prior year 2022/2023. Despite a reduced working capital ratio, the Unit faces no liquidity risks or concerns at this time and is well positioned to continue as a going concern into the foreseeable future.

Shareholders' equity increased by EC\$31.3M, following a surplus of EC\$89.9M. This growth highlights the ongoing dedication of the Board of Directors, Management, staff, and all stakeholders involved in promoting and advancing the St. Lucia programme.



Strengthening Saint Lucia's Global Standing:

Key Takeaways from Brussels



The visit to Brussels reinforced Saint Lucia's position as a leader in the investment migration sector, with **Prime Minister Phillip J. Pierre** and **CEO Mc Claude Emmanuel** engaging in high-level discussions on economic development and global mobility.

It strengthened international recognition of Saint Lucia's Citizenship by Investment Programme (CIP) as a responsible and high-value initiative while fostering collaborations with policymakers and industry leaders. Key outcomes included identifying opportunities for sustainable development investments through the National Economic Fund and reaffirming commitments to regulatory enhancements and best practices.

Overall, the visit successfully positioned Saint Lucia as an attractive destination for investors seeking both economic impact and global mobility.



Message from the Minister

for the Citizenship by
Investment Programme,
Dr. Ernest Hilaire



Saint Lucia's Citizenship by Investment Programme was established to drive sustainable economic growth, create opportunities, and enhance global engagement. As the architect of this initiative, I am proud of how it has evolved into a benchmark for transparency, integrity, and strategic investment.

The programme's unprecedented success, surpassing EC\$240 million in revenue and achieving a record surplus, demonstrates its significant contribution to national development. Investments from the programme continue to strengthen key sectors, including infrastructure, economic diversification, and community projects, ensuring that the benefits extend to all Saint Lucians.

At the heart of our programme is a commitment to excellence in governance and compliance. We have strengthened due diligence frameworks, implemented global best practices, and deepened regulatory engagement to ensure that our programme maintains its reputation as a trusted, high-value investment platform. This approach safeguards our nation's interests while attracting top-tier investors who align with our vision of sustainable development.

As we look to the future, we are expanding investment pathways, integrating digital solutions for efficiency, and reinforcing Saint Lucia's position as a leader in investment migration. The programme creates long term partnerships that drive national progress and economic resilience.

I extend my gratitude to all stakeholders, investors, compliance partners, and the dedicated team at the Citizenship by Investment Unit. Their contributions ensure that the programme continues to uphold the integrity and global standing of Saint Lucia, securing its lasting impact for generations to come.

Beyond the Passport:

Saint Lucia Elevates Its Global Investment Appeal at Landmark Summit



The Beyond the Passport Summit, hosted by the Saint Lucia Citizenship by Investment Unit (CIP Saint Lucia), showcased the nation's investment migration opportunities beyond its passport benefits, positioning it as a premier destination for global investors.

Bringing together key stakeholders from real estate, tourism, trade, and finance, the summit fostered high-level discussions on sustainable investment, the impact of the National Economic Fund (NEF), and strategic partnerships between businesses and government entities. With dynamic plenary sessions, networking opportunities, and exclusive events aligned with Saint Lucia's Carnival season, the summit reinforced the island's competitive standing in the global CBI market.

Ultimately, it strengthened investor confidence, highlighted policy advancements, and underscored Saint Lucia's commitment to long-term economic growth and sustainable development.



Due Diligence Work for St. Lucia

The scope and extent of due diligence work provided to Citizenship by Investment Saint Lucia



S-RM is an industry-leading corporate intelligence and cyber security consultancy. Founded in 2005, we have 400+ practitioners spanning nine international offices, serving clients across all regions and major sectors.

We support our clients by delivering intelligence and investigations services that inform strategy and decision-making; by supporting them in building resilience to cyber threats; and by providing rapid response to cyber incidents and other organisational crises.

With almost a decade of experience in the industry, and thousands of reports produced, we are one of the most established and well-regarded investment migration due diligence firms working today. Our team are fluent in 45+ languages, with one of the largest teams dedicated to supporting citizenship and residency by investment clients. We have been ranked in Band 1 for Investigative Due Diligence in the 2022, 2023 and 2025 Chambers & Partners rankings.

We support Citizenship by Investment Programme Saint Lucia with a range of services, and pride ourselves on going beyond 'tick box' due diligence to deliver consistently outstanding client service and value, enabled by proprietary tools and technology.

All S-RM's due diligence reporting is conducted using a combination of human source enquiries, public

record research, and analysis founded in extensive regional expertise and industry experience. In financial year 2024 alone, we delivered 1,007 due diligence reports on applicants to CIP St Lucia. We also provide continuous media monitoring, so clients are aware of red flags as they emerge, even after our report has been delivered.

Just over a year ago, we launched an automated interview service that allows applicants to submit their responses at a time convenient to them and in a range of languages. Over 100 interviews have been processed to date.

The S-RM team have also delivered tailored virtual and in-person training sessions to the CIP Saint Lucia Due Diligence team, covering key concerns in jurisdictions of specific interest such as Iraq and Sudan.



FULL DUE DILIGENCE

For main applicants and dependents 17 years of age and over, BDO covers full scope research in the applicant's countries of current and previous residence.

The following areas are included in the full scope of research:

- Verification of Identification Numbers/Documents
- Address History Verification

- Employment and Education Verifications (current and previous)
- Professional licenses/registrations searches
- Corporate Affiliations searches
- Civil Litigation searches
- Criminal History searches
- Bankruptcy/Insolvency/Judgments searches
- Credit History/Financial Standing of the subject
- Financial/Professional Regulators
- Global Watch List searches
- PEP searches and inquiries regarding local political affiliations
- Media (English and local language)

LIMITED DUE DILIGENCE

Limited scope research is also provided to the applicants where they have limited ties such as previous employment or education.

The following areas are included in the limited scope of research:

- Verification of Identification Numbers/Documents
- Criminal History searches

RISK ANALYSIS

BDO's team of researchers and reviewers have extensive experience in due diligence within the RCBI sector. The team meticulously assigns a risk rating to each report that leverages their extensive expertise, derived from both professional experience and relevant certifications. This expertise is also complemented by their in-depth knowledge of various regions, which further enhances their ability to provide nuanced evaluations that consider local and cultural contexts. The risk score and analysis are tailored to each report and specific situation, enabling clients to effectively assess applicants.

INTERVIEW PROCESS

BDO conducts an interview with each main applicant which involves a thorough review of the application and preparation of interview questions with input from the Citizenship by Investment Saint Lucia. Once

an interview has been scheduled, each interview is conducted with a focus on open communication and data privacy. As part of the interview process, the applicant's personal identifying information is cross-referenced for consistency. Post-interview, a detailed report is drafted and securely submitted to Citizenship by Investment Saint Lucia.

ONGOING MONITORING

BDO offers long-term support by continuously monitoring applicants for whom we have previously completed due diligence reports. This monitoring process serves as an additional layer of protection for the Citizenship by Investment Saint Lucia program against potential risks that may arise after the submission of the due diligence report.

FOLLOW-UP INQUIRIES

BDO provides ongoing support to Citizenship by Investment Saint Lucia after report delivery by addressing follow-up inquiries concerning risks or red flags identified in the due diligence report and assisting in the verification of additional documents submitted by applicants. We offer expert insights and guidance on the due diligence process, industry trends, and associated risks within the RCBI sector.

IN-PERSON VISITS

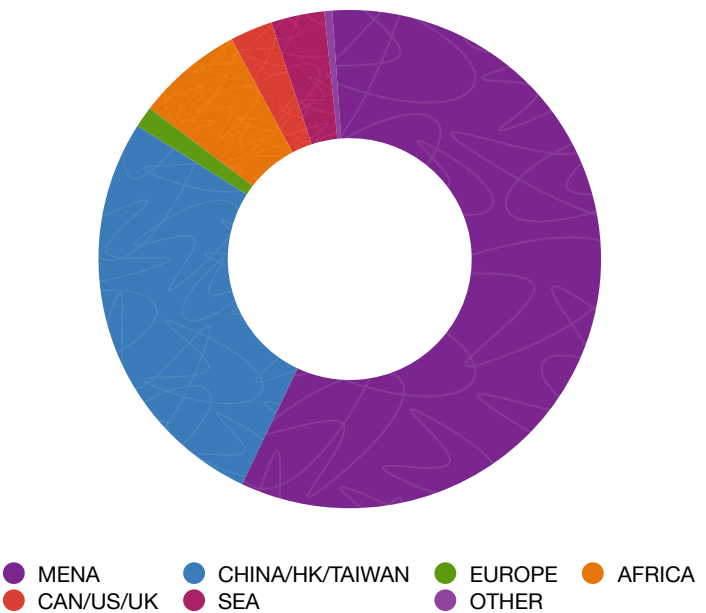
Beyond our ongoing support through addressing follow-up inquiries, BDO is committed to fostering a collaborative relationship with Citizenship by Investment Saint Lucia. To demonstrate this commitment, BDO conducted an in-person visit to the government unit during the reporting period. The visit was designed to share knowledge and expertise, while also addressing any concerns or questions the unit may have, ensuring a seamless and informed partnership.

Key achievements or milestones in our collaboration over the reporting period

SL Cases March 1, 2023 – March 31, 2024:

- Over 360 requests
- Over 550 subjects

Region	Percentage by Region
Middle East and North Africa	58.15%
China, Hong Kong, and Taiwan	26.93%
Africa	6.86%
Southeast Asia	3.43%
Canada, United States, and United Kingdom	2.74%
Europe	1.37%
Other	0.51%



During the reporting period, BDO successfully collaborated with Citizenship by Investment Saint Lucia to implement a citizenship interview process as part of its due diligence services. The collaboration included drafting interview questions, outlining the step-by-step process, and scheduling and recording interviews.

This initiative aligns with Citizenship by Investment Saint Lucia’s commitment to ensuring the highest levels of scrutiny and integrity in the program. Conducted by

our in-house team of seasoned due diligence experts, these virtual interviews were seamlessly delivered in multiple languages including Arabic, Kurdish, Chinese, French, and English, catering to the diverse backgrounds of global applicants. The majority of these language needs are directly covered by our in-house team; however, when needed, BDO’s status as a global firm allows us to leverage our global offices in over 160 countries to fill any language gaps.

By offering flexibility in various languages and scheduling to accommodate various time zones, BDO ensures an inclusive and applicant-friendly approach while maintaining rigorous verification standards. This process allows us to comprehensively authenticate identity, assess the source of wealth, and identify potential risks with precision. The citizenship interview process has proven to be a valuable addition, adding a robust layer of protection to our due diligence reports and reinforcing the integrity and reputation of the Citizenship by Investment Saint Lucia program. This milestone underscores BDO’s dedication to innovation, transparency, and unwavering support of Citizenship by Investment Saint Lucia’s vision for excellence.

ADDITIONAL INFORMATION

Any other relevant information that would provide valuable insight for the annual report.

BDO’S IDENTIFICATION OF TRENDS AND PATTERNS

BDO’S FORWARD-LOOKING INSIGHTS FOR THE INVESTMENT MIGRATION INDUSTRY

In today’s world, sustainable citizenship and social responsibility are increasingly shaping the future trends in the RCBI industry. We recognize the growing influence of eco-investors and the principles of conscious capitalism. Emphasizing St. Lucia’s commitment to sustainability and community development is crucial. This approach aligns with the values of socially responsible investors eager to make a positive impact. By positioning RCBI revenue as a catalyst for local growth, key stakeholders can showcase the positive effects of the program on St. Lucia’s infrastructure, healthcare, and education systems. This

narrative not only reinforces the program's purpose-driven investment appeal but also highlights its role in fostering community-centric development.

EXIGER

ENGAGEMENT BY CITIZENSHIP BY INVESTMENT SAINT LUCIA

OVERVIEW

Exiger has been engaged since January 2016 by Citizenship by Investment Saint Lucia to provide Due Diligence services on applicants. The most recent Statement of Work is effective as of March 1, 2024 through February 28, 2025.

ENHANCED DUE DILIGENCE

Enhanced Due Diligence enquiries on main applicants, spouses, and adult dependents include:

- Verification of Background
 - Identification verification
 - Address verification
 - Marital history checks
 - Post-secondary education and/or professional qualification verification
- Disclosed Employment and Corporate Interests checks
- Undisclosed Employment and Corporate Interests
- Source of Wealth-related findings
- Sanctions and Debarments
- Political Exposure
- Regulatory Information
- Criminal Records
- Civil Litigation
- Bankruptcy Filings

- Judgment and Lien Filings
- Adverse Media and Internet
- Reputational Source Inquiries
- Risk Matrix (described below)
- Ongoing Monitoring for 2 years (described below)

Please note that the above is subject to the availability of public records information and applicable laws in each jurisdiction.

As part of Exiger's due diligence offering, and after consultation with several of our citizenship by investment clients, we developed a risk-analysis tool which we generate for each due diligence assignment to assist clients in understanding the risk factors present. Exiger's Risk Matrix is meant to assist clients in evaluating the due diligence report in combination with the information disclosed by the applicant.

In addition to our in-house human analyst resources, Exiger is at the leading edge of leveraging technology in its due diligence process. We have developed the industry-pioneering due diligence tool DDIQ, an automated intelligence solution based on a cognitive computing platform that accesses thousands of live sources, not only curated databases, to deliver global, comprehensive risk-based profiles in minutes, as well as providing ongoing profile monitoring. DDIQ learns about its research subject by searching both structured and unstructured data from thousands of web and premium information sources for relevant risk-based information in real-time. It then creates a comprehensive profile presenting streamlined intelligence, organized by risk classification, for compliance review.

DDIQ research is included in Exiger's enhanced due diligence reported findings, and all applicant profiles are subject to Ongoing Monitoring for red flags for a period of two (2) years from the date the due diligence report is ordered.

APPLICANT INTERVIEWS

Exiger has been engaged since September 2023 by Citizenship by Investment Saint Lucia to provide Applicant Interview Services.

All Main Applicants are subject to interviews. Applicants' approved agents are not permitted to join the interview to protect the integrity of the interview process.

Exiger's interviewers employ a semi-structured format to meet the objectives of identity and general background confirmation for all Main Applicants, which include:

- Confirm and capture screenshots of all requested ID documents, including with applicant onscreen;
- Verify ID documents match those submitted with the application and with the applicant onscreen; and
- Ask questions from general background confirmation list, and attempt to clarify if answers are unclear or do not match prepared information.

Exiger analysts prepare a standardized report on each interview, using interviewer notes and interview transcripts. The report includes interview responses analyzed according to client objectives:

- Confirmation of identity
- General background verification

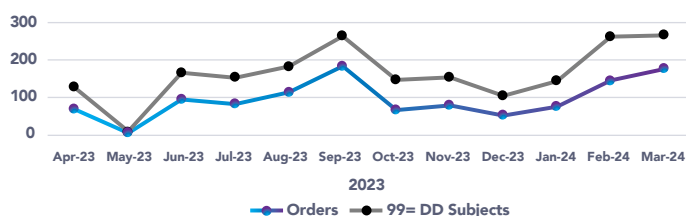
Incorrect or non-responses, or non-verification of ID / general background, are highlighted as High Risk.

KEY MILESTONES AND ACHIEVEMENTS

DUE DILIGENCE ORDER VOLUME

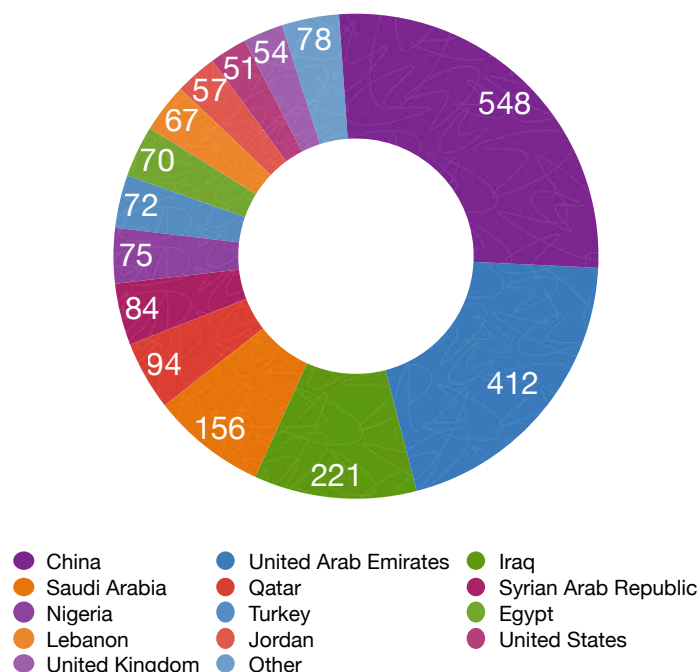
Citizenship by Investment Saint Lucia submitted 1,164 Due Diligence orders to Exiger during the reporting period, representing 1,995 main applicants and dependents.

DD Orders Submitted to Exiger - April 2023-March 2024



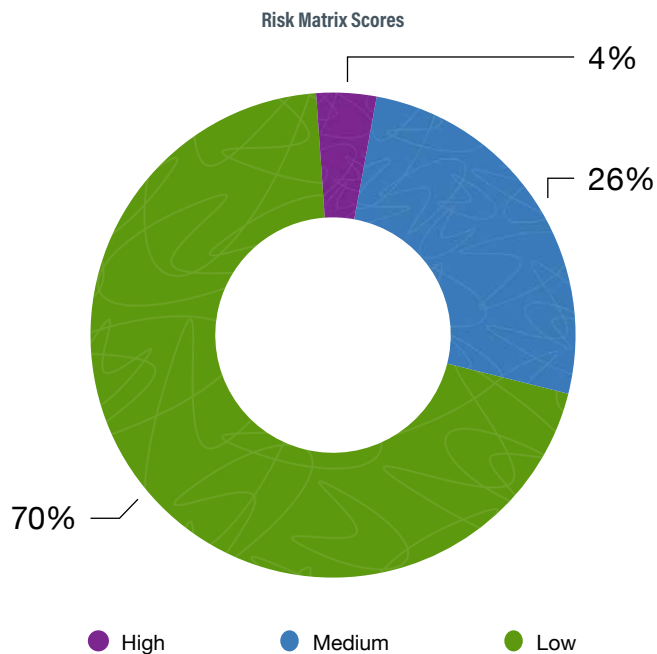
The greatest share of DD subjects was based in China, followed by the United Arab Emirates, then Iraq.

DD Subjects During Reporting Period



Risk Matrix scores on applicants fell in the Low range for the majority of subjects (70%) during the reporting period.

Exiger also completed 81 applicant interviews during the reporting period. As interviews were kicking off in the last months of the reporting period, monthly averages are not reported for this period.



PREMIUM PRICING AGREED

Standard Enhanced Due Diligence pricing has been in place since 2016, at the following rates:

- USD 4,200 Main Applicant or Sponsor
- USD 2,000 ea. Dependent

Effective September 1, 2023, a commitment agreement was reached for a minimum of approximately 500 DD orders over a 12-month term. As a result, Exiger was able to offer premium pricing of:

- USD 3,900 Main Applicant or Sponsor
- USD 2,000 ea. Dependent

In February 2024, Citizenship by Investment Saint Lucia leveraged high applicant volume to reach an agreement for a higher commitment of approximately 950 DD orders over a 12-month term. Even greater savings were achieved as a result:

- USD 3,700 Main Applicant or Sponsor
- USD 1,700 ea. Dependent

Total Savings of USD 330,400 was realized by Citizenship by Investment Saint Lucia during the reporting period of April 2023 – March 2024, as a result of these committed agreements. Please note the premium pricing was only applicable for part of the reporting period, from September 1, 2023. Average monthly savings for September 2023 through March 2024 was USD 41,300.

TRAINING

Virtual training was provided to Citizenship by Investment Saint Lucia team members in April 2023 on the topic:

- Due Diligence Tools & Methodology

Two professionals from the team at Citizenship by Investment Saint Lucia attended Exiger's 2023 Due Diligence Specialist Certification training in McLean, Virginia, from July 10-13, 2023. Attendees Sylvania Tobierre and Dylan McDiarmed successfully completed the course and passed the final exam. The course topics included:

- Assessing Risk by evaluating and asking questions – the Risk Based Approach
- Due Diligence tools and methodology
- Cultural Context in Due Diligence
- Financial Crime and Money Laundering
- Digital Assets
- Multiple Case Studies and Discussion

In-person training was also delivered to Citizenship by Investment Saint Lucia professionals on February 20, 2024 covering:

- China: Cultural Context in Due Diligence
- Due Diligence Tools & Methodology (refresher training)



KEY ACHIEVEMENTS AND MILESTONES

Full Files (DD and Interview) and Interview Only files

Over the reporting period (01 April 2023 – 31 March 2024) FACT received 420 applications for due diligence from the St Lucia Citizenship by Investment Programme (CIP St Lucia). These were predominantly Family Citizenship applications that required full due diligence.

Full DD and Interview Files

The number of applications received by FACT steadily increased throughout 2023. A key milestone was the successful introduction of interviews in the due diligence process in October 2023. FACT have an independent interview team with extensive interview experience and language capabilities, which enhance our ability to conduct comprehensive interviews in most languages. Alongside conducting due diligence and interviewing the Applicant as a package, FACT were also able to accept interview only files from CIP ST Lucia. Between October 2023 and March 2024, FACT conducted 225 interviews.

Enquiries were successfully conducted in 55 different jurisdictions. The most prevalent primary jurisdictions were Iraq, China, Syria, Egypt and Lebanon. The UAE was the most prevalent secondary jurisdictions with many Arab Applicants residing or conducting business there.

Through the above-mentioned due diligence process, 16 high risk cases were identified over the reporting period. This represents only 3% of the total caseload with the majority of Applicants graded as low or medium risk. High risk cases were from across multiple jurisdictions; Iraq (7), China (3), Egypt (2), Pakistan (2), Libya (1), Yemen (1). In over half of these cases, concerns regarding the Applicant's businesses resulted in their high-risk grading.

Case Study: Combining in-country enquiries, jurisdictional expertise and online research and analysis to identify risk

The Applicant applied for citizenship alongside his spouse and minor children. His identity documents and residential address were verified, and no discrepancies were identified.

The Applicant declared to be a Director and Manager at three companies operating in import/export, management consultancy and engineering. His roles could not be verified through local enquiries or online sources. It was also not possible to confirm the operationality of two of the companies through site visits.

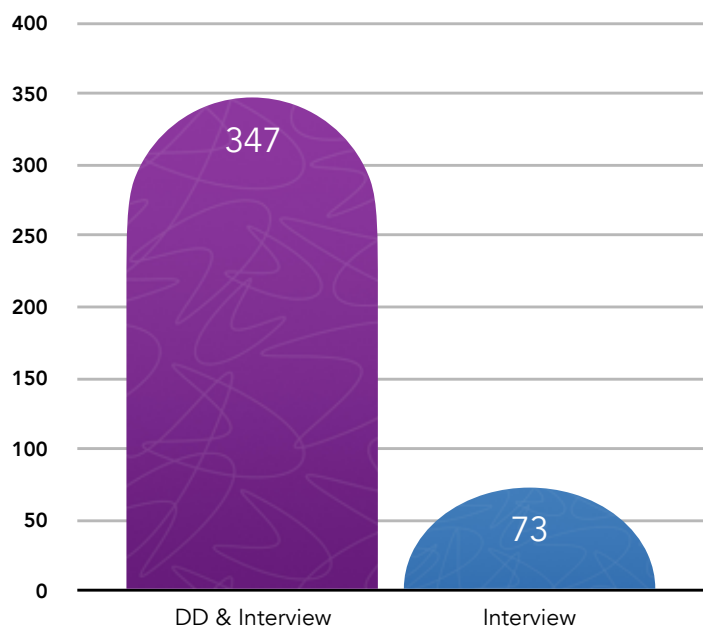


Chart 1.1 Applications received by FACT from CIP St Lucia 01 April 2023 – 31 March 2024

The number of applications received by FACT steadily increased throughout 2023. A key milestone was the successful introduction of interviews in the due diligence process in October 2023. FACT have an independent interview team with extensive interview experience and language capabilities, which enhance our ability to conduct comprehensive interviews in most languages. Alongside conducting due diligence and interviewing the Applicant as a package, FACT were also able to accept interview only files from CIP ST Lucia. Between October 2023 and March 2024, FACT conducted 225 interviews.

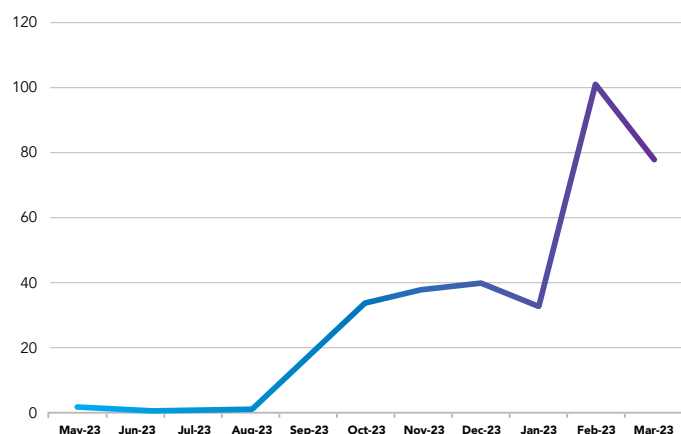


Chart 1.2 DD & Interview applications received by FACT from CIP St Lucia per month 01 April 2023 – 31 March 2024

Online enquiries detected three undeclared employments for the Applicant which included being an Advisor in the office of a Prime Minister, in a government not recognised internationally and accused of forging alliances with Islamist militias. He was also found to be a Partner in a company with the son of the Prime Minister. Significant adverse media was identified relating to the latter role, with accusations of receiving multi-million-dollar government contracts due to familial links. This raised concerns regarding the Applicants source of wealth. And, whilst the Applicant made wealth declarations, they could not be corroborated due to lack of documents.

Through a combination of in-country enquiries, jurisdictional expertise and online research and analysis, FACT were able to identify risks relating to the Applicant's political exposure, high-risk undeclared business activities and concerns regarding the legitimacy of his wealth.

TRAINING

In addition to conducting due diligence, FACT have collaborated with CIP St Lucia through providing training to Due Diligence Officers from the unit, covering the following topics:

- Anti Money Laundering
- Cryptocurrency
- Analysis and Assessment in Due Diligence
- Threat Matrix in Due Diligence
- Iraq – Jurisdictional Specialism
- UAE – Jurisdictional Specialism
- China – Jurisdictional Specialism
- Türkiye – Jurisdictional Specialism



LSEG

LSEG (London Stock Exchange Group) has proudly partnered with the Saint Lucia Citizenship by Investment (CBI) Unit for the past decade, playing a critical role in providing due diligence reports for citizenship

applicants. Over the past year, this partnership has seen significant advancements, including enhancements to Investment Migration Reports, the launch of the LSEG brand, and the establishment of a dedicated team managing the collaboration. Key initiatives have focused on refining risk assessments, improving report structure for clarity and efficiency, and strengthening investigative capabilities. Notably, LSEG has integrated Harod Associates, a global leader in investigative interviews, into its process, ensuring a seamless, high-quality due diligence experience. Additionally, the company has expanded its network to over 500 locally based investigators, further enhancing the depth and reliability of its research.

Looking ahead to 2025, LSEG is poised to introduce groundbreaking innovations following its \$1.1 billion acquisition of RedFlag, GDC, and GIACT. These strategic investments will significantly enhance the due diligence and risk intelligence capabilities available to the Saint Lucia CBI Unit. New solutions will include global bank account verification, fraud detection and mitigation, and biometric identity and digital document verification. Additionally, LSEG is set to introduce workflow solutions that automate and digitize the applicant onboarding process, ensuring greater efficiency and security. With these advancements, LSEG reaffirms its commitment to delivering unparalleled due diligence solutions, strengthening its partnership with Saint Lucia's CBI Unit, and setting new standards for investment migration.



CITIZENSHIP BY INVESTMENT UNIT (CIU)

Financial Statements

March 31, 2024

(Expressed in Eastern Caribbean Dollars)

January 28, 2025

INDEPENDENT AUDITOR'S REPORT

Grant Thornton Inc.

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To the Board of Directors of the Citizenship by Investment Unit (CIU) Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of the **Citizenship by Investment Unit** (the "CIU" and or "Unit"), which comprise the statement of financial position as at March 31, 2024, and the statement of operations, statement of net assets and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of material accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Unit as at March 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing ("ISAs"). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Unit in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants ("IESBA Code") together with the ethical requirements that are relevant to our audit of the financial statements in St. Lucia, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter

The financial statements of the Unit for the year ended March 31, 2023, were audited by another auditor who expressed an unmodified opinion with an emphasis of matter on going concern and compliance on those statements on June 6, 2024.

Other Information

Other information consists of the information included in the Unit's 2024 and 2023 Annual Report other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

The Unit's 2024 and 2023 Annual Report is expected to be made available to us after the date of this auditor's report. Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated.

**Chartered Accountants
Audit | Tax | Advisory**

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Responsibilities of Management and the Board of Directors for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Unit's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Unit or to cease operations, or has no realistic alternative but to do so.

Those charged with governance is responsible for overseeing the Unit's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Unit's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast material doubt on the Unit's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Unit to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Board of Directors regarding, among other matters, the planned scope and timing of the audit and material audit findings, including any material deficiencies in internal control that we identify during our audit.



**Chartered Accountants
Castries, Saint Lucia**

**Statement of Financial Position**

As at March 31, 2024

(Expressed in Eastern Caribbean Dollars)

	Notes	2024 \$	2023 \$
Assets			
Current assets			
Cash	5	137,754,264	71,939,431
Accounts receivable and prepayments	6	7,967,462	810,190
		<u>145,721,726</u>	<u>72,749,621</u>
Non-current asset			
Property and equipment	7	5,720,252	685,537
Total assets		<u>151,441,978</u>	<u>73,435,158</u>
Liabilities and net assets			
Current liabilities			
Accounts payable and accruals	8	64,352,722	28,066,505
Deferred income - License fees	9	806,215	1,600,753
Lease payable	10	638,979	142,894
Provision	11	15,105,314	5,660,531
		<u>80,903,230</u>	<u>35,470,683</u>
Non-current liabilities			
Deferred income - Government grants	9	156,599	171,300
Leased payable	10	1,298,239	67,290
		<u>1,454,838</u>	<u>238,590</u>
Total liabilities		<u>82,358,068</u>	<u>35,709,273</u>
Net assets			
Accumulated surplus		<u>69,083,910</u>	<u>37,725,885</u>
Total equity		<u>69,083,910</u>	<u>37,725,885</u>
Total liabilities and equity		<u>151,441,978</u>	<u>73,435,158</u>

The accompanying notes form an integral part of these financial statements.

SIGNED ON BEHALF OF THE BOARD OF DIRECTORS

Director

Director

Statement of Operations

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

	2024	2023
	\$	\$
Revenue (Note 12)	240,255,205	60,616,615
Grant income	<u>14,701</u>	<u>14,701</u>
	<u>240,269,906</u>	<u>60,631,316</u>
Operating expenses (Note 13)	(6,782,123)	(4,014,380)
Programme costs (Note 14)	(143,467,174)	(33,777,687)
Interest expense (Note 15)	<u>(42,697)</u>	<u>(11,429)</u>
	<u>(150,291,993)</u>	<u>(37,803,496)</u>
Surplus for the year	<u>89,977,912</u>	<u>22,827,820</u>

The accompanying notes form an integral part of these financial statements

Statement of Net Assets

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

	Note	2024 \$	2023 \$
Net assets			
At the beginning of the year		37,725,885	26,166,606
Government distribution	16	(58,619,887)	(11,268,541)
Surplus for the year		89,977,912	22,827,820
At the end of the year		69,083,910	37,725,885

The accompanying notes form an integral part of these financial statements.

Statement of Cash Flows

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

	Notes	2024 \$	2023 \$
Cash flows from operating activities			
Surplus for the year		89,977,912	22,827,820
Adjustments for:			
Depreciation	7	814,043	234,159
Interest expense	15	42,697	11,429
Operating income before working capital changes		90,834,652	23,073,408
Increase in accounts receivable and prepayments		(7,157,272)	(547,779)
Increase in accounts payable and accruals		36,286,217	20,601,364
Increase/(decrease) in deferred income - Licence fees		(794,538)	928,873
Decrease in deferred income - Government grants		(14,701)	(14,701)
Increase in provision		9,444,783	2,664,063
Cash generated from operations		128,599,141	46,705,228
Interest paid	15	(42,697)	(11,429)
Net cash generated from operating activities		128,556,444	46,693,799
Cash flows used in investing activity			
Purchase of property and equipment	7	(5,848,758)	(445,483)
Cash flows from financing activities			
Payment of lease payable	10	(590,000)	(154,378)
Acquisition of new lease	10	2,206,904	-
Accretion of interest		110,130	-
Distribution to government	16	(58,619,887)	(11,268,541)
Net cash used in financing activities		(56,892,853)	(11,422,919)
Net increase in cash and cash equivalents		65,814,833	34,825,397
Cash - beginning of year	5	71,939,431	37,114,034
Cash - end of year	5	137,754,264	71,939,431

The accompanying notes form an integral part of these financial statements.



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

1. Incorporation and principal activity

The **Citizenship by Investment Unit** (the “CIU” and or “Unit”), is a statutory body of the Government of Saint Lucia which was established on August 24, 2015, under the Citizenship by Investment Unit (CIU) Act No. 14 of 2015 and subsequently amended by Statutory Instrument No.1 of 2017. The Unit commenced operations on October 1, 2015.

The Unit’s primary function is for the general administration of the Citizenship by Investment (“CIP”) program of Saint Lucia.

The Unit’s registered office and principal place of business is located on the Poinsettia Road, Vigie, Castries, Saint Lucia.

The financial statements were approved by the Board of Directors and authorised for issue on January 22, 2025.

2. Summary of material accounting policies

(a) Overall policy

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been constantly applied to all years presented unless otherwise stated.

Basis of preparation

The financial statements of the **Citizenship by Investment Unit (CIU)** have been prepared in accordance with International Financial Reporting Standards (“IFRS”) as issued by the International Accounting Standards Board (“IASB”) and under the historical cost convention.

The preparation of financial statements in conformity with IFRS requires the use of certain accounting estimates. It also requires management to exercise its judgment in the process of applying the Unit’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are material to the financial statements are disclosed in Note 3.

(b) Foreign currency translation

Functional and presentation currency

Items in the financial statements are measured using the currency of the primary economic environment in which the entity operates (the “functional currency”). The financial statements are presented in Eastern Caribbean dollars (EC\$), which is the Unit’s functional and presentation currency.

Transactions and balances

Monetary assets and liabilities denominated in currencies other than Eastern Caribbean dollars are translated at the rate of exchange ruling at the end of the reporting period. Non-monetary assets and liabilities and transactions denominated in currencies other than Eastern Caribbean dollars are translated at the rate of exchange ruling at the date of the transaction. Foreign exchange gains and losses are charged to the statement of operations.



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

2. Summary of material accounting policies (cont'd)

(c) New standards, amendments to standards and interpretations

- (i) *New standards, amendments and interpretations effective for the annual periods beginning on or after April 1, 2023*

Classification of Liabilities as Current or Non-current (Amendments to IAS)

The amendments clarify a criterion in IAS 1 for classifying a liability as noncurrent: the requirement for an entity to have the right to defer settlement of the liability for at least 12 months after the reporting period.

The amendments:

- specify that an entity's right to defer settlement must exist at the end of the reporting period
- clarify that classification is unaffected by management's intentions or expectations about whether the entity will exercise its right to defer settlement
- clarify how lending conditions affect classification, and
- clarify requirements for classifying liabilities an entity will or may settle by issuing its own equity instruments.

Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)

After the commencement date of the leaseback, the seller-lessee applies *Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)* to measure the amount of the right-of-use (RoU) asset and lease liability. In applying this Standard to the situation where there are variable lease payments not determined by an index or rate, the seller-lessee determines 'lease payments' in a way that the seller-lessee does not recognise any gain/loss on the RoU asset retained.

Supplier Finance Arrangements (Amendments to IAS 7 and IFRS 7)

An entity must disclose information about its supplier finance arrangements that enables users to assess the effects of those arrangements on the entity's exposure to liquidity risk.



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

2. Summary of material accounting policies (cont'd)

- (i) *New standards, amendments and interpretations effective for the annual periods beginning on or after April 1, 2023*

Non-current Liabilities with Covenants (Amendments to IAS 1)

The amendments improve the information an entity provides when its right to defer settlement of a liability for at least twelve months is subject to compliance with covenants. The amendments were also a response to stakeholder concerns about the classification of such liabilities.

The amendments clarify that the covenant

- Must require compliance with the stated conditions on or before the end of the reporting period if it is to affect whether that right exists at the end of the reporting period, even if the compliance with the covenant is assessed only after the reporting period (classification therefore affected).
- Does not affect whether the right exists at the end of the reporting period if an entity is required to comply only after the reporting period (classification unaffected)

These amendments do not have a material impact on these Financial Statements and therefore the disclosures have not been made.

- (ii) *Standards, amendments and interpretations that are issued but not effective and have not been early adopted are as follows (cont'd):*

- Lack of Exchangeability (Amendments to IAS 21)
- Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and 7)
- IFRS 18 'Presentation and Disclosure in Financial Statements'
- IFRS 19 'Subsidiaries without Public Accountability: Disclosures'

These amendments are not expected to have a significant impact on the financial statements in the period of initial application and therefore no disclosures have been made.

(d) Cash

Cash are carried on the statement of financial position at cost. For the purpose of the statement of cash flows, Cash comprise balances with a maturity period of three months or less from the date of acquisition including cash on hand and deposits held on call with banks.

(e) Accounts receivable

These amounts arose as the applicants made partial payments towards their qualifying investments after being granted citizenship. Accounts receivable is carried at amortised cost less allowance for impairment.

Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

2. Summary of material accounting policies (cont'd)

(f) Impairment of financial assets

In relation to the impairment of financial assets, IFRS 9 requires the use of a forward-looking expected credit loss ("ECL") approach. The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss or "LTECL"); unless there has been no material increase in credit risk since origination, in which case, the allowance is based on the 12 months' expected credit loss.

Given that the accounts receivable are short-term in nature, the selection of either option would have the same effect. An ECL general approach was used based on:

- an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- the time value of money; and
- reasonable and supportable information that is available without undue cost or effort at the reporting date, about past events, current conditions and forecasts of future economic conditions.

The key elements of the ECL calculations are outlined below:

- Probability of Default: this measures the instances of default over a period, divided by the number of payments expected at the beginning of a period
- Loss Given Default: This represents amounts never collected or amounts written off once a default event occurs.
- Exposure at Default: This represents the outstanding amounts collectible at default.

Based on the assessment performed above, no previous or current instances of losses were identified and a low probability of material losses occurring in the future arose. As such, no expected credit losses were recorded.

(g) Property and equipment

Property and equipment are stated at historical cost net of accumulated depreciation and impairment losses, if any. Historical cost includes expenditure that is directly attributable to the acquisition of the item.

Subsequent costs are included in the asset's carrying amount or recognised as an asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Unit and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the statement of operations during the financial period in which they are incurred.

Depreciation is calculated on the straight-line basis to allocate the cost of each asset to their residual value over their estimated useful lives as follows:

Furniture, fixtures and appliances	10 years
Computer equipment	3 years
Leasehold improvements	3 years (lease term)

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

Gains and losses on disposal are determined by comparing proceeds with carrying amounts. These are included in the statement of operations.



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

2. Summary of material accounting policies (cont'd)

(h) Lease assets

The Unit as a lessee:

For any new contracts entered into, the Unit considers whether a contract is, or contains a lease. A lease is defined as 'a contract or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration'. To apply this definition, the Unit assesses whether the contract meets three key evaluations which are whether:

- the contract contains an identified asset which is either explicitly identified in the contract or implicitly specified by being identified at the time the asset is made available to the Unit;
- the Unit has the right to obtain substantially all of the economic benefit from use of the identified asset throughout the period of use, considering the rights within the defined scope of the contract; and,
- the Unit has the right to direct the use of the identified asset throughout the period of use. The Unit assess whether it has the right to direct 'how and for what purpose' the asset is used for the period of use.

At lease commencement date, the Unit recognises a right-of-use asset and a lease liability on the statement of financial position. The right-of-use asset is measured at cost, which is made up of the initial measurement of the lease liability, any initial direct costs incurred by the Unit, an estimate of any costs to dismantle and remove the asset at the end of the lease, and any lease payments made in advance of the lease commencement date (net of any incentives received).

Measurement and recognition of leases as a lessee

The Unit depreciated the right-of-use assets on a straight-line basis from the lease commencement date to the earlier of the end of useful life of the right-of-use asset or the end of the lease term. The Unit also assesses the right-of-use asset for impairment when such indicator exists.

At the commencement date, the Unit measures the lease liability at the present value of the lease payments unpaid at that date, discounted using the interest rate implicit in the lease if that rate is readily available, or the Unit's incremental borrowing rate.

Lease payments included in the measurement of the lease liability are made up of fixed payments (including in substance fixed), variable payments based on an index or rate, amounts expected to be payable under a residual value guarantee and payments arising from options reasonably certain to be exercised.

Subsequent to initial measurement, the liability will be reduced for payments made and increased for interest. It is remeasured to reflect any reassessment or modification, or if there are changes in in-substance fixed payments.



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

2. Summary of material accounting policies (cont'd)

(h) Lease assets (cont'd)

When the lease liability is remeasured, the corresponding adjustment is reflected in the right-of-use asset, or profit or loss, if the right-of-use asset is already reduced to zero.

The Unit has elected to account for short-term leases and leases of low-value assets using the practical expedients. Instead of recognising a right-of-use asset and lease liability, the payments in relation to these are recognised as an expense in profit or loss on a straight-line basis over the lease term.

On the statement of financial position, right-of-use assets have been included in Property, plant and equipment and lease liability have been included in lease payables.

(i) Impairment of non-financial assets

The carrying amounts of the Unit's property and equipment are reviewed at each reporting date to determine whether there are any indicators of impairment. If any indicators exist, the asset's recoverable amount is estimated.

The recoverable amount of the asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment losses are recognised in the statement of operations.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognised.

(j) Accounts payable

Accounts payable are classified as current liabilities if payment is due within one year or less. Accounts payable are initially recognised at fair value and subsequently measured at amortised cost.



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

2. Summary of material accounting policies (cont'd)

(k) Revenue recognition

To determine whether to recognise revenue, the Unit follows a 5-step process:

1. Identifying the contract with a customer.
2. Identifying the performance obligation.
3. Determining the transaction price.
4. Allocating the transaction price to the performance obligation in the contract.
5. Recognising revenue when/as performance obligation(s) are satisfied.

The Citizenship by Investment Unit ("CIU") in accordance with IFRS 15 recognises that the performance obligation is satisfied upon the issuance of a certificate of citizenship after a qualifying investment is made by an applicant. Revenue is recognised upon the receipt of the qualifying investment from the applicant after citizenship has been granted by the Board.

Donations to the National Economic Fund

When applicants apply for citizenship, one of the options available to them is that they can opt for a monetary donation into the Saint Lucia National Economic Fund. The minimum that has to be donated is US\$100,000 based on revised legislation to the CIU. Once the applicant has been granted citizenship and has been informed accordingly, the applicant will pay the amount into the Bank account of the Unit. Based on Statutory Instrument No. 1 of 2017 dated January 5, 2017, for every donation received from an applicant, 20% is retained by the Unit for marketing and promotion of the CIP and recognised as revenue, and the remaining 80% is transferred to the Government of Saint Lucia.

Processing fees

The processing fee per applicant is US\$2,000 and for each qualifying dependent US\$1,000. This is paid upon submission of the completed application to the CIU and recognised as revenue in the period it is paid.

Authorised Agents - application fees and license fees

Application fees arise when a company wishes to become an authorised agent so that they can assist applicants in applying for citizenship. The application fee is paid upon submission of the application and is non-refundable. Once the application has been approved, a licence is granted and the authorised agent pays the licence fee for a year. A licence is valid for one calendar year. The revenue from application fees and licence fees are recognised on submission of application.

Promoters - application fees and license fees

Application fees arise when a company wishes to become a promoter. The application fee is paid upon submission of the application and is non-refundable. Once the application has been approved, a licence is granted and the promoter pays the licence fee for a year. A licence is valid for one calendar year. The revenue from application fees and licence fees are recognised in the period in which it is earned.

Notes to the Financial Statements

For the Year Ended March 31, 2024

*(Expressed in Eastern Caribbean Dollars)***2. Summary of material accounting policies (cont'd)****(k) Revenue recognition (cont'd)****Marketing agents**

Marketing agents can only market CIP if they are registered and licensed to do so, thus a company wishing to do so would have to apply to become a marketing agent. A licence is valid for one calendar year. Marketing agents can choose to pay a lump sum in advance for future licenses. This is recorded as Advanced Deposits, and the amounts are recognised as revenue over the period in which it is earned.

Deferred government grant income

Grants related to depreciable assets are initially recorded as deferred income and are subsequently brought to income at the same rate as the assets to which they relate are depreciated. Other grants are recognised in the periods in which the expenses for which they were given are incurred.

Due diligence fees

The due diligence and background check fees per applicant are US\$8,000 and for each qualifying dependent over 16 years of age it is US\$5,000. This is paid upon submission of the completed application to the Unit and recognised as revenue in the period it is paid.

All fees are charged in accordance with the Citizen by Investment Act.

(l) Expenses

Expenses are recognised on an accruals basis.



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

2. Summary of material accounting policies (cont'd)

(m) Related party transactions

A party is related to the Unit if:

- (i) Directly or indirectly the party:
 - (a) Controls, is controlled by, or is under common control with the Unit:-
 - (b) Has an interest in the Unit which gives it material influence over the Unit:-
 - (c) Has joint control over the Unit.
- (ii) The party is a member of the key management personnel of the Unit.
- (iii) The party is a close member of the family of any individual referred to in (i) or (ii).
- (iv) The party is a post-employment benefit plan for the benefit of employees of the Unit or anybody that is a related party to the Unit.

The Unit's related party transactions are mainly with key management personnel and the Government of Saint Lucia, details of which are disclosed in Note 17.

(n) Provisions

Provisions are recognised when the Unit has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and the amount has been reliably estimated.

Provisions are measured at the present value of the expenditure expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risk specific to the obligation. The increase in the provision due to the passage of time is recognised as interest expense.

(o) Commitments and contingencies

Liabilities for loss contingencies arising from claims, assessments, litigation, fines, penalties and other sources are recorded when it is probable that a liability has been incurred and the amount of the assessment and/or remediation can be reasonably estimated. Legal costs incurred in connection with loss contingencies are expensed as incurred.

(p) Subsequent events

Post-period events that provide additional information about the Unit's position at the reporting date (adjusting events) are reflected in the Unit's financial statements. Material post period end events which are not adjusting events are disclosed.

(q) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in the presentation of the current year.



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

3. Critical accounting estimates and judgments

Estimates and judgments are continually evaluated and are based on historical experience and other factors including expectation of future events that are believed to be reasonable under the circumstances.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a material risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Unit based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Unit. Such changes are reflected in the assumptions when they occur.

There are no estimates and assumptions that have a material risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

4. Financial risk management

In accordance with the provisions of International Financial Reporting Standard No. 7, disclosures are required regarding credit risk, liquidity risk, market risk, fair value of financial instruments and capital management.

(l) Credit risk

Credit risk arises from the possibility that counterparties may default on their obligations to the Unit. The Unit's maximum exposure to credit risk is indicated by the carrying amount of its financial assets.

The financial assets which may potentially expose the Unit to concentrations of credit risk consist primarily of cash. The Unit places its deposits with a highly reputable and regulated financial institutions and the receivables are due from applicants whose net worth has been reviewed and determined to be satisfactory. As such, management does not believe that material credit risk exists at March 31, 2024.

(m) Liquidity risk

Prudent liquidity risk management implies maintaining sufficient Cash to meet contractual obligations. Management reviews cash flow forecasts on a regular basis to determine whether the Unit has sufficient cash reserves to meet future working capital requirements. Based on the available cash resources, the Unit is able to meet its obligations as they become due and as such, management does not believe that material liquidity risk exists at March 31, 2024.

(n) Market risk

Market risk is the risk that changes in market prices, such as interest and foreign exchange rates will affect the value of the Unit's assets, the amount of its liabilities and or the Unit's income. The Unit has minimal exposure to interest rate risk as it has no material interest-bearing financial assets or liabilities. The Unit exposure to foreign exchange risk is minimal as the majority of its foreign transactions are quoted in US dollars, which has been formally pegged to the EC dollars at EC\$2.70 = US\$1.00 since 1976.

**Notes to the Financial Statements**

For the Year Ended March 31, 2024

*(Expressed in Eastern Caribbean Dollars)***4. Financial risk management (cont'd)****(o) Fair value of financial instruments**

Fair values represent estimates of the consideration that would currently be agreed upon between knowledgeable, willing parties who are under no compulsion to act and are best evidenced by quoted market values, if they exist. None of the Unit's financial assets or liabilities are traded on formal markets and as such their fair values are assumed to approximate their carrying amounts.

Capital management

The Unit's objectives when managing capital are to safeguard its ability to continue as a going concern, so that it can continue to collect funds on behalf of the Government of Saint Lucia. The unit has no material debt and the Unit is at low risk of capital inadequacy.

5. Cash

	2024	2023
	\$	\$
Cash on hand	1,375	881
Cash at bank	137,752,889	71,938,550
	<u>137,754,264</u>	<u>71,939,431</u>

Included in cash at bank is \$3,463,477 (2023 - \$7,469,971) which represents contributions held in trust at the Unit and is due to the National Economic Fund (Notes 8 and 17), and \$2,200,500 (2023-\$6,749,981) in COVID-19 Bonds and \$810,000 in the National Action Bonds payable to the Government of St. Lucia (Notes 8 and 17).

6. Accounts receivable and prepayments

	2024	2023
	\$	\$
Accounts receivable	7,306,265	756,561
Prepayments:		
Advanced registration and subscription fees	-	39,469
Other prepayments	661,196	14,160
	<u>661,196</u>	<u>53,629</u>
	<u>7,967,462</u>	<u>810,190</u>



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

7. Property and equipment

	Note	Leasehold Improvements \$	Furniture \$	Computer Equipment \$	Motor Vehicles \$	Right-of- use assets \$	Total \$
As at March 31, 2022							
Cost		591,155	189,471	298,655	-	446,189	1,525,470
Accumulated depreciation		(591,155)	(115,783)	(269,955)	-	(74,364)	(1,051,257)
		-	73,688	28,700	-	371,825	474,213
For the year ended March 31, 2023							
Opening net book value		-	73,688	28,700	-	371,825	474,213
Additions during the year		-	40,550	210,533	194,400	-	445,483
Depreciation charge for the year	13	-	(20,861)	(38,648)	(25,920)	(148,730)	(234,159)
Closing net book value		-	93,377	200,585	168,480	223,095	685,537
As at March 31, 2023							
Cost		591,155	230,021	509,188	194,400	446,189	1,970,953
Accumulated depreciation		(591,155)	(136,644)	(308,603)	(25,920)	(223,094)	(1,285,416)
		-	93,377	200,585	168,480	223,095	685,537
For the year ended March 31, 2024							
Opening net book value		-	93,377	200,585	168,480	223,095	685,537
Additions during the year		3,245,718	650	162,246	-	2,440,144	5,848,758
Depreciation charge for the year	13	-	(23,127)	(94,943)	(38,880)	(657,093)	(814,043)
Closing net book value		3,245,718	70,900	267,888	129,600	2,006,146	5,720,252
As at March 31, 2024							
Cost		3,836,873	230,671	671,434	194,400	2,886,333	7,819,711
Accumulated depreciation		(591,155)	(159,771)	(403,546)	(64,800)	(880,187)	(2,099,459)
		3,245,718	70,900	267,888	129,600	2,006,146	5,720,252



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

8. Accounts payable and accruals

	Notes	2024 \$	2023 \$
Accounts payable		17,849,231	2,375,648
Staff gratuity		225,861	174,007
Other payables		1,728,145	613,540
		19,803,237	3,163,195
Contributions in trust at Unit due to National			
Economic Fund	5,17	3,463,477	7,469,971
Covid 19-bond payable	5	2,200,500	6,749,981
National Action Bond		810,000	-
ALA Licence Fees - advance payments		13,500	264,600
		6,487,477	14,484,552
Accrued expenses:			
Due diligence services		26,258,108	5,362,200
Marketing agent commissions		10,868,850	2,882,250
Authorised agents and promoters' commission		634,500	1,975,050
Audit fees		117,987	45,075
Staff vacation		108,565	80,189
Utilities		70,940	72,994
Other accruals		3,058	1,000
		38,062,008	10,418,758
		64,352,722	28,066,505



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

9. Deferred income

	2024 \$	2023 \$
Current:		
At beginning of the year	1,600,753	671,880
Funds received during the year	1,260,897	1,579,296
Funds received during the year recognised as revenue	(454,682)	(527,037)
Funds from prior balance recognised as revenue	(1,600,753)	(671,880)
Deferred income - Other	-	548,494
At end of the year	806,215	1,600,753
Non-current		
At beginning of the year	171,300	186,001
Amounts recognised as grant income	(14,701)	(14,701)
At end of the year	156,599	171,300

10. Leases

	2024 \$	2023 \$
Lease payables		
Current	638,979	142,894
Non-current	1,298,239	67,290
	1,937,218	210,184

The Unit has a lease for office properties which is reflected on the statement of financial position as a right-of-use asset under property and equipment and lease payable under current and non-current liabilities. The Unit classified its right-of-use assets in a consistent manner to its property and equipment (Note 7).

For the lease mentioned above, there is a restriction that, unless there is written consent for the contractual right for the Unit to sublet the asset to another party, the right-of-use asset can only be used by the Unit. The lease is cancelable only if there is a breach of the covenants and with three months' written advance notice. The Unit must keep the premises in a good state of repair and return the properties in their original condition at the end of the lease. Further, the Unit must insure items of property and equipment and incur maintenance fees on such items in accordance with the lease contracts.



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

10. Leases (cont'd)

The table below describes the nature of the Unit's leasing activities by type of right-of-use asset recognised on statement of financial position.

Right-of-use assets	No. of right-of-use assets leased	Range of remaining term	Average remaining lease term	No. of lease with extension options	No of lease with options to purchase	No of lease with variation payments linked to an index		No of lease with termination options
Office premises	2	<4	<4	-	-	-	-	-

The lease liabilities are secured by the related underlying assets. Future minimum lease payments are as follows:

At March 31 2024	Within		Within		Total
	1 year	\$	2-3 years	\$	
Lease payments	790,904		1,416,000		2,206,904
Finance charges	(84,635)		(272,822)		(357,457)
	706,269		1,143,178		1,849,447
At March 31 2023					
Lease payments	165,807		82,904		248,711
Finance charges	(22,913)		(15,614)		(38,527)
	142,894		67,290		210,184



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

10. Leases (cont'd)

	Note	Premise \$
For the year ended March 31, 2023		
Opening net book value		371,825
Additions		-
Depreciation	7	<u>(148,730)</u>
Closing net book value		<u>223,095</u>
As at March 31, 2023		
Cost		446,189
Accumulated depreciation		<u>(223,094)</u>
Net book value		<u>223,095</u>
Year ended March 31, 2024		
Opening net book value		223,095
Additions		2,440,144
Disposals		-
Depreciation	7	<u>(657,093)</u>
Closing net book value		<u>2,006,146</u>
As at March 31, 2023		
Cost		2,886,333
Accumulated depreciation		<u>(880,187)</u>
Closing net book value		<u>2,006,146</u>

11. Provision

	2024 \$	2023 \$
VAT payable	<u>15,105,314</u>	<u>5,660,531</u>



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

12. Revenue

	Note	2024 \$	2023 \$
Due diligence fees		133,142,265	19,730,673
Administrative fees		88,020,000	19,939,500
Allotment from National Economic Fund donations	17	4,796,700	11,999,340
Administrative fees Covid 19 bonds		3,699,000	5,292,000
Processing fees		3,672,000	1,437,843
Alien Land Holding processing fees		843,750	687,690
Promoter - License fees		717,577	505,597
Authorizing agents - License fees		476,719	447,087
Administrative fees National Action bonds		270,000	-
Other income		4,617,194	576,885
		<u>240,255,205</u>	<u>60,616,615</u>

13. Operating expense

	Note	2024 \$	2023 \$
Payroll and employee benefits		3,031,078	2,312,973
Bank charges		1,453,832	478,206
Depreciation	7	814,042	234,159
Foreign currency translation		325,797	46,014
Telecommunications		174,593	103,145
IT costs		157,863	95,839
Directors stipends		120,306	114,800
Professional and consultancy fees		123,217	81,131
Utilities		105,209	121,491
Staff training and development		55,858	26,083
Travel allowance		2,853	847
Legal fees		-	95,125
Office supplies and services		417,475	304,567
		<u>6,782,123</u>	<u>4,014,380</u>

Payroll and employee benefits include amounts for gratuity and termination costs.

Notes to the Financial Statements

For the Year Ended March 31, 2024

*(Expressed in Eastern Caribbean Dollars)***14. Programme costs**

	2024 \$	2023 \$
Due diligence expenses	88,251,300	14,630,097
Authorized agent and promoters commission	41,471,103	10,555,616
Marketing agents commission	12,148,481	7,239,544
Business travel	1,120,027	1,235,750
Marketing and investor relations	476,263	116,680
	<u>143,467,174</u>	<u>33,777,687</u>

Business travel related to promotions and conferences organized by the Unit, as well as those conferences in which the Unit participated.

15. Interest expense

	2024 \$	2023 \$
Interest on lease payable	<u>42,697</u>	<u>11,429</u>

16. Government distribution

	2024 \$	2023 \$
Government distribution - Consolidated Fund	<u>58,619,887</u>	<u>11,268,541</u>

By memorandum dated November 23, 2020, from the Office of the Prime Minister, the Unit was formally instructed to remit the excess cash to the Consolidated Fund, or otherwise as directed by the Minister responsible for the Citizenship by Investment Programme.

**Notes to the Financial Statements**

For the Year Ended March 31, 2024

*(Expressed in Eastern Caribbean Dollars)***17. Related party transactions**

Transactions with related parties as defined in Note 2(m) comprised of key management compensations and amounts collected on behalf of and remitted to the Government of Saint Lucia for donations to the National Economic Fund.

Key management compensations

	2024 \$	2023 \$
Salaries and other benefits	1,276,663	1,243,134
Directors stipend	120,306	114,800
	<u>1,396,968</u>	<u>1,357,934</u>

National Economic Fund

During the year, the Unit received US\$8,883,110, or EC\$23,984,398 (2023: US\$22,221,000, or EC\$59,996,700) as monetary investments into the National Economic Fund. In accordance with Statutory Instrument No. 1 of 2017, dated January 5, 2017, 20% of this amount is allocated to the Unit for the purpose of covering marketing and promotional costs incurred. As a result, a net total of US\$8,558,830, or EC\$23,108,842, was remitted to the National Economic Fund Board during the year ended March 31, 2024, which includes the prior year's balance of US\$2,766,656, or EC\$7,469,971. An outstanding balance of US\$1,282,769, or EC\$3,463,477 (Note 8), remained payable to the National Economic Fund as of March 31, 2024.

The Unit also remitted US\$15,185,185, or EC\$41,000,000, from its operating surplus to the National Economic Fund in support of the government's agenda. As a result, a total of US\$23,744,016, or EC\$64,108,843, was remitted to the National Economic Fund for the year ended March 31, 2024.



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

17. Related party transactions (cont'd)

The table below provides the collections and remittances details by quarter:

Donations under the Citizenship by Investment Programme, specifically within the National Economic Fund category, are made payable to the Government of Saint Lucia.

	Apr. - Jun. 2023	July - Sept. 2023	Oct.-Dec. 2023	Jan-Mar. 2024	Total
	\$	\$	\$	\$	\$
NEF donations collected	8,741,548	6,454,350	4,374,000	4,414,500	23,984,398
Marketing and promotion fees applicable to the Unit	(1,748,130)	(1,290,870)	(874,800)	(882,900)	(4,796,700)
Contributions in trust at Unit due to Government from prior year March 31, 2023 now remitted	7,469,971	-	-	-	7,469,971
Contributions in trust at Unit due to Government at March 31, 2024	-	-	-	(3,463,477)	(3,463,477)
Transfer to NEF from CIU surplus	(32,056)	(22,566)	(15,293)	41,000,000	41,000,000
Foreign exchange loss				(15,434)	(85,350)
Net donations remitted to the National Economic Fund Account	14,431,334	5,140,914	3,483,907	41,052,689	64,108,843



17. Related party transactions (cont'd)

Donations under the Citizenship by Investment Programme, specifically within the National Economic Fund category, are made payable to the Government of Saint Lucia. **(cont'd)**

	Apr. - Jun. 2022	July - Sept. 2022	Oct.-Dec. 2022	Jan-Mar. 2023	Total
	\$	\$	\$	\$	\$
NEF donations collected	12,694,050	13,922,550	13,909,050	19,471,050	59,996,700
Marketing and promotion fees applicable to the Unit	(2,538,810)	(2,791,260)	(2,965,410)	(3,703,860)	(11,999,340)
contributions in trust at Unit due to Government from prior year March 31, 2022, now remitted	1,053,774	-	-	-	1,053,774
Contribution in trust at Unit due to Government at March 31, 2023	-	-	-	(7,469,971)	(7,469,971)
Foreign exchange loss	(44,382)	(48,648)	(47,828)	(68,908)	(209,766)
Net donations remitted to the National Economic Fund Account	11,164,632	11,082,642	10,895,812	8,228,311	41,371,397



Notes to the Financial Statements

For the Year Ended March 31, 2024

(Expressed in Eastern Caribbean Dollars)

17. Related party transactions (cont'd)

Special COVID 19 Bond Investments

Bonds purchased as at March 31, 2024

Quantity purchased

Bonds in Trust at the CIU due to Government as at March 31, 2023

Quantity held in Trust March 31. 2023

Bonds in Trust at the CIU due to Government as at March 31, 2024

Quantity held in Trust March 31. 2024

Bonds purchased remitted to Government as at March 31, 2024

Quantity remitted

	Apr. - Jun. 2023	July - Sept. 2023	Oct.-Dec. 2023	Jan-Mar. 2024	Total
	\$	\$	\$	\$	\$
Bonds purchased as at March 31, 2024	22,626,000	6,520,500	2,606,850	2,428,669	34,182,019
Quantity purchased	31	9	3	4	47
Bonds in Trust at the CIU due to Government as at March 31, 2023	6,749,981				6,749,981
Quantity held in Trust March 31. 2023	9				9
Bonds in Trust at the CIU due to Government as at March 31, 2024	-	-	-	(2,200,500)	(2,200,500)
Quantity held in Trust March 31. 2024	-	-	-	3	3
Bonds purchased remitted to Government as at March 31, 2024	10,530,000	22,626,000	5,575,500	-	38,731,500
Quantity remitted	14	28	6	5	53



17. Related party transactions (cont'd)

Special COVID 19 Bond Investments (cont'd)

	Apr. - Jun. 2022	July - Sept. 2022	Oct.-Dec. 2022	Jan-Mar. 2023	Total
	\$	\$	\$	\$	\$
Covid 19 Bonds purchased as at March 31, 2023	15,619,500	10,125,000	11,826,000	10,125,000	47,695,500
Quantity purchased	21	14	16	14	65
Bonds in Trust at the CIU due to Government as at March 31, 2022	1,350,000	-	-	-	1,350,000
Quantity held in Trust March 31, 2022	2	-	-	-	2
Bonds in trust at the Unit due to Government as at March 31, 2023				(6,749,981)	(6,749,981)
Quantity remitted in trust March 31, 2023				9	9
Bonds purchased remitted to Government as at March 31, 2023	16,969,500	10,125,000	11,826,000	3,375,019	42,295,519
Quantity remitted	-	20	29	5	54

**Notes to the Financial Statements**

For the Year Ended March 31, 2024

*(Expressed in Eastern Caribbean Dollars)***17. Related party transactions (cont'd)****National Action Bond**

Section 4, paragraph (a) of the Citizenship by Investment (Amendment) (No. 2) Regulations, Saint Lucia Statutory Instrument, 2022, No. 222, introduced a new government bond option for qualifying for citizenship under the investment program: the Government National Action Bond (NAB). Under this option, an applicant and their qualifying dependents may choose the Government Bond option at US\$ 300,000. The bond is non-interest bearing, with a holding period of five (5) years. This option was predominantly utilized throughout the year.

	Apr. - Jun. 2023	July - Sept. 2023	Oct.-Dec. 2023	Jan.-Mar. 2024	Total
	\$	\$	\$	\$	\$
National Action Bonds purchased as at March 31, 2024	810,000	-	-	810,000	1,620,000
Quantity purchased	1	-	-	1	2
Bonds in Trust at the CIU due to Government as at March 31, 2024	-	-	-	(810,000)	(810,000)
Quantity held in Trust March 31, 2024	-	-	-	1	-
Bonds purchased remitted to Government as at March 31, 2024	-	810,000	-	-	810,000
Quantity remitted	-	1	-	-	1



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